My instinct is to head straight for the cheapest insurance plan possible, but that's not always the best option. If you have a health problem that requires multiple doctor visits, prescriptions, and specialists throughout the year, you could actually pay hundreds more out of pocket in the long run, making it *cheaper* to hop on a higher premium plan.

To figure out that monthly premium sweet spot, look over your credit or debit card paper trail from last year, and add up all your medical expenses. Divide that by twelve to estimate your monthly health care cost, and use that number to determine the best plan for you. A higher out-of-pocket cost means you may want to increase your monthly premium and vice versa.

2. INCREASE YOUR DEDUCTIBLE

As with homeowner's and car insurance policies, the higher the deductible, the lower the premium. Sounds pretty straightforward, right? But remember, you are also taking a pretty big risk. If a major emergency happened, you'd automatically pay everything out of pocket until you met your deductible. Even then, your insurance might not cover everything in full after that.

Don't let this scare you! Sometimes a high deductible plan is the right choice. Here's how to know for sure:

- A high deductible plan is great if you very *rarely* get sick, and only make one doctor visit a year.
- It's also great if you have a hefty Emergency Fund in place to cover your deductible should you ever need to use it. Consider it insurance for your insurance!

For those enrolled in a high deductible plan, you can also open a Health Savings Account (HSA) to help pay for medical expenses. Contributions are tax free, tax deductible, and carry over from year to year.

READER TIP: